Brazil Macro Monthly

Better market prices, still fragile macro fundamentals

- The global economic environment continues to be risky – though not necessarily negative – for Brazil. It is too early to assess the effects of a likely global trade war. On the positive side, recent indicators point to a slowdown in the US, reducing the risk of rate hikes by the Fed this year.
- In politics, March brought three relevant points: signaling the end of the budget amendments imbroglio; the first steps towards a ministerial reform; and definitions on the 2025 budget vote.
- Brazil's GDP increased by 3.4% in 2024, with signs of weakening in Q4. The economic slowdown is expected to continue, although gradually. Thus, we maintain our projection of 2.0% for 2025 GDP growth. The expectation of 1.0% for 2026 is biased upwards.
- The government should have no difficulty meeting this year's primary result target, but a significant adjustment will still be necessary to comply with the spending limit. For 2026, we believe the surplus target of 0.25% of GDP will be maintained, despite the adverse scenario.
- The BRL has performed well this year, but risks remain. We expect the exchange rate at 6.00 reais per dollar for YE 2025 (previously 6.20) and 6.20 for YE 2026 (previously 6.40).
- We have slightly reduced our 2025 IPCA inflation forecast from 6.1% to 6.0%, reflecting the scenario of a less pressured exchange rate. For 2026, we kept our projection at 4.5%, amid a scenario of significant monetary contraction and expansionary fiscal policies.
- Despite easing exchange rate pressures and weaker economic activity, we still see the Selic rate at 15.50% by June. If the economic slowdown intensifies, the Copom may stop raising rates sooner than expected. Still, we do not see inflation close to the target in the foreseeable future.

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XP Forecasts

	2018	2019	2020	2021	2022	2023	2024 (F)	2025 (F)	2026 (F)
GDP growth (%)	1.8	1.2	-3.3	4.8	3.0	3.2	3.4	2.0	1.0
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.3	7.6	6.5	7.2	7.8
IPCA (CPI, %)	3.8	4.3	4.5	10.1	5.8	4.6	4.8	6.0	4.5
SELIC rate (% p.a., end of period)	6.50	4.50	2.00	9.25	13.75	11.75	12.3	15.50	12.50
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	4.86	6.2	6.00	6.20
Central government primary balance (% GDP)	-1.7	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.7	-0.9
Primary balance for target calculation (% GDP)*	--	–	–	–	–	–	-0.1	-0.3	-0.6
Public sector primary balance (% GDP)	-1.5	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.7	-0.8
Public sector nominal balance (% GDP)	7.0	5.8	13.3	4.3	4.6	8.8	8.5	9.3	8.5
General government gross debt (% GDP)	75.3	74.4	86.9	77.3	71.7	73.8	76.5	80.0	84.1
Net public sector debt (% GDP)	52.8	54.7	61.4	55.1	56.1	60.4	61.5	64.7	68.3
Trade Balance (USD Bn)	46.6	29.6	35.7	42.3	51.5	92.3	65.8	73.0	78.0
Exports (USD Bn)	231.9	225.8	210.7	284.0	340.2	343.8	339.9	356.0	363.0
Imports (USD Bn)	185.3	196.2	175.0	241.7	288.7	251.5	274.0	283.0	285.0
Current Account (USD Bn)	-54.8	-65.0	-24.9	-40.4	-42.2	-27.9	-61.2	-62.6	-50.2
Current Account (% GDP)	-2.9	-3.5	-1.7	-2.4	-2.2	-1.3	-2.8	-2.9	-2.3
FDI (USD Bn)	78.2	69.2	38.3	46.4	74.6	62.4	71.1	60.0	57.0
FDI (% GDP)	4.1	3.7	2.6	2.8	3.8	2.9	3.2	2.8	2.6
Nominal GDP (USD Bn)	1.92	1,873	1,475	1,670	1,951	2,190	2,178	2,143	2,192
Nominal GDP (BRL Bn)	7.00	7,389	7,610	9,012	10,080	10,943	11,745	12,641	13,367

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

Foreword – Fragile and volatile equilibrium

Last month, we argued that the positive performance of Brazilian markets at the beginning of the year was supported by fundamentals, but the equilibrium looked fragile. It remains the case.

First, it is still not clear that tighter monetary policy in Brazil is leading to a more balanced economy. December activity indicators came out softer than expected, but January and February data suggest some recovery. IPCA inflation stood a bit below expectations in the first bimester, but its core measures remain under pressure and wholesale price inflation rebounded, pointing to further pressure for consumer prices ahead.

Second, the government announced fresh measures to boost domestic demand, such as the release of FGTS funds and payroll loans for private sector workers. It reinforces the view that fiscal and/or quasi-fiscal policies may react if economic growth moderates ahead.

Third, balance of payments results are showing that the current account deficit was larger than initially expected last year, due to strong domestic demand boosting imports and international travel expenditures. It suggests limited room (if any) for the BRL to strengthen from current levels.

Last but not least, the global environment remains unstable, with uncertain effects of President Trump's measures on several fronts (import tariffs, war negotiation, immigration). Consequently, spikes of global risk aversion could happen frequently, keeping market volatility elevated. Moreover, one should monitor the escalation of tensions between Brazilian and US institutions.

Against this backdrop, we have made only minor adjustments to our (conservative) macro forecasts. We have slightly reduced our year-end exchange rate projection to 6.00 from 6.20 reais per dollar, still anticipating some depreciation ahead. Accordingly, we slightly trimmed our 2025 IPCA inflation forecast, to 6.0% from 6.1%.

We kept our GDP growth forecast at 2.0% this year, with the potential impact of government stimulus measures offsetting the downward surprises in the latest GDP release. Our expectation for the terminal Selic rate remains at 15.50% (after 100-75-50-bp hikes in the next three Copom meetings).

Global Backdrop – The tensions remain the same

Caio Megale

The global economic environment remains risky – though not necessarily bad – for the Brazilian economy.

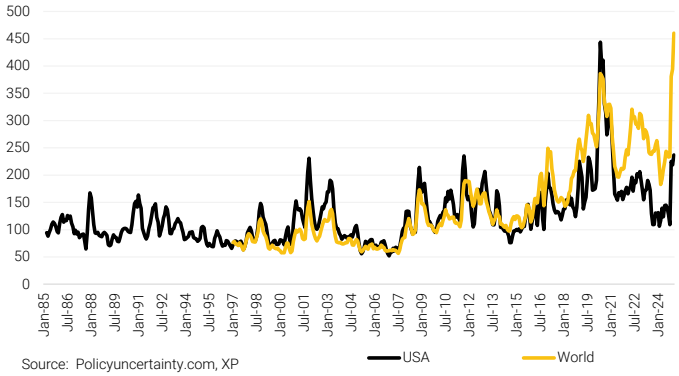
In the US, President Trump continues to threaten other nations with severe tariff increases. It seems still too early to assess the effects of this likely global trade war, let alone its effects on Brazil. But this theme will definitely be a source of volatility going forward, to say the least.

One should also monitor the escalation of tensions between Brazilian and US institutions.

On the positive side, recent activity indicators suggest some economic slowdown, removing the tail risk of the Fed hiking rates this year. US Treasury yields have fallen in recent weeks, which is positive for EM (including Brazil). We are skeptical that this movement will go on much further, though. Our baseline scenario continues to see no Fed Funds rate cuts this year.

Another source of risk for Brazil is commodity prices. After a relatively strong performance at the beginning of 2025, key prices for Brazil - Brent crude oil, iron ore, and grains - have softened. We see commodity prices moving sideways for the months to come, but economic and geopolitical risks should be closely monitored.

Increased uncertainty raises global risk perception
Economic policy uncertainty index



Source: Policyuncertainty.com, XP

The risk of rate hikes in the US has diminished significantly
US 2Y Treasury Bond Yield (%)

Source: BBG, XP

BRAZIL – Better market prices, still fragile macro fundamentals

Political environment – The beginning of the second biennium

Paulo Gama, Bianca Lima e João Paulo Machado

The month of March will mark the beginning of the political year. After a month of parliamentary recess and pending issues in the relationship among the branches of power that led to slowdowns in activities, March brought three important points: a signal that the impasse over pork barrel policies had been resolved; the first steps towards a ministerial reform; and clearer definitions regarding the voting schedule for the 2025 public budget, which has been pending since last December. All three steps were considered necessary for the political year to truly begin.

Once these issues have been resolved, attention should shift to the two measures already announced by the government as

priorities for this year. The first is the creation of a new model for payroll loans for private sector workers. The second is the Income Tax reform, which, according to the initial design already presented by the economic team, will expand the Income Tax exemption threshold for those earning up to BRL 5,000 per month – a measure that will be funded by the introduction of a minimum effective tax rate for incomes above BRL 50,000 per month. It is worth noting that discussions on these two points tend to be held in Congress beyond the first quarter.

Both measures are part of a context of low government approval ratings recorded by the main polls, whose repercussions are also observed in other aspects that tend to reverberate in the actions of the government in the coming months. These actions will also be discussed in a scenario of more explicit concern with the 2026 elections, in which the government has reorganized its communication and the Planalto Palace got closer to the PT nucleus, with the appointment of Gleisi Hoffmann, President of the political party until then, to the Secretariat of Institutional Relations, responsible for the political articulation of the government.

The first consequence of the drop in the approval of the government is the concern about food inflation. Palliative measures were already announced at the beginning of the month, but the possible persistence of relevant results could reignite the debate. In the same direction, and even without the support of the economic team, it is possible that stimulus measures, such as payroll loans and the release of FGTS payments, will continue to be suggested by government members – which would add difficulty to the effort that has been undertaken by the Ministries of Finance and Planning to convince the government to tolerate the possibility of GDP growth below that recorded in 2024.

Back on the legislative agenda, March may also bring discussions on presidential vetoes that are pending analysis by Congress – something that may be postponed until the middle of the following month. Among the most relevant vetoes that could be discussed are the one that deals with the regulatory framework for offshore wind farms; the one that removed the exemption for real estate funds (FII) and agribusiness funds (Fiagro) from the Tax Reform regulations; and those related to the Propag, the new program for renegotiating state debts.

Activity – Greater confidence in the economic slowdown scenario

Rodolfo Margato

Brazil's GDP increased by 3.4% in 2024, with signs of weakening in Q4. As published last Friday (07), GDP rose by 0.2% QoQ in 24Q4 (3.6% YoY), below expectations and the average growth of 1.0% QoQ in the previous three releases. Most activities lost steam at the end of the year. That said, the

3.4% expansion in 2024 came in well above initial projections. Domestic demand accelerated last year (up 4.6% versus 2023), driven by household consumption (4.8%) and investments (7.3%). On the supply side, widespread growth in the services sector and recovery in the manufacturing industry stood out.

Economic slowdown expected to continue… Industrial output was flat in Q4, ending a streak of four consecutive increases. Moreover, broad retail sales declined in the period, marked by a cooling spread across segments. The services sector showed mixed signs, with resilience in categories more linked to household demand and contraction in technical-professional services. These results likely reflect the impact of rising inflation and tighter financial conditions.

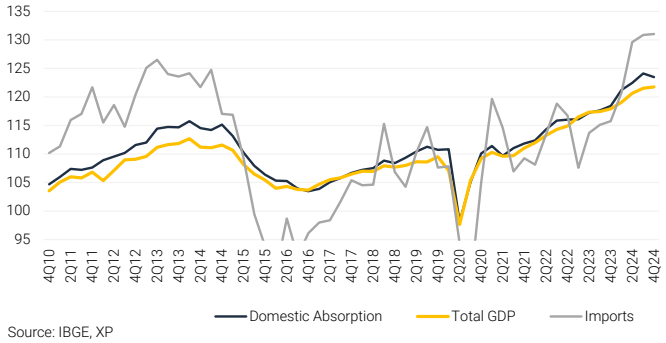
… gradually. Nonetheless, after much lower-than-expected figures in December, domestic activity indicators suggest a recovery in early 2025. The net creation of formal jobs increased from approximately 30,000 in December to 160,000 in January (seasonally adjusted data), reinforcing the need for caution when assessing month-to-month results. The formal employment data at the end of 2024 appears to have been a negative outlier. Furthermore, the unemployment rate continues to hover around 6.5%, illustrating the tight labor market. In short, employment and real wages continue to rise, despite the slower pace of growth in recent months. Coincident indicators for industry and retail also point to a rebound in the first two months of this year.

Our projection for 2025 GDP growth remains at 2.0%. The statistical carryover effect from the 2024 GDP is 0.8%. Additionally, sectors that are less sensitive to economic policy should perform robustly this year. Agriculture is expected to add nearly 0.5 pp to overall GDP growth, boosted by the record grain harvest. These factors, in tandem with the resilience of the labor market, support our scenario of a mild economic slowdown. Thus, we have reinforced our projection of 2.0% for 2025 GDP growth since the middle of last year.

Short-term stimulus is back on the radar. Recently announced government measures should lead to additional stimulus to activity in the short term. Among them, we highlight (I) the new type of payroll loan for private sector workers and (II) the release of FGTS (Severance Indemnity Fund) resources for workers dismissed between Jan/20 and Feb/25 who opted to withdraw part of their balance annually, in their birthday month. Credit concessions and real household disposable income will continue to grow in 2025, although at a more moderate pace compared to 2024.

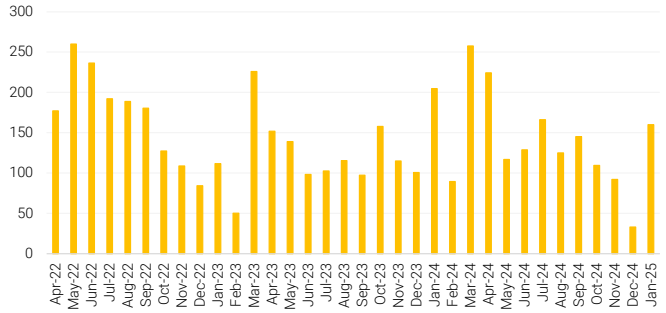
Weaker GDP in 2026, but its balance of risks is asymmetric to the upside. The impact of contractionary monetary policy on domestic demand should become more evident next year. However, some factors may act in the opposite direction. In this regard, we draw attention to the income impulse associated with the (likely) approval of the IRPF (Personal

Signs of cooling domestic demand in Q4 after several quarters of better-than-expected growth
Seasonally adjusted series (1Q10 = 100)



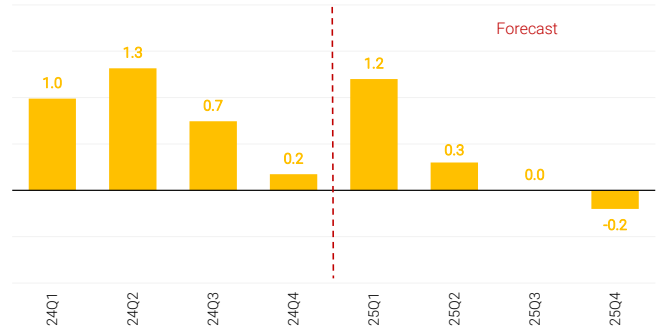
Source: IBGE, XP
* Domestic Absorption = Investments + Household Consumption + Government Consumption

Formal employment balance rebounded strongly in January after worrying end-2024 data
Seasonally adjusted data



Source: Ministry of Labor and Employment, XP

GDP expected to accelerate in Q1 on the back of record grain harvest
Total GDP. QoQ s.a. (%)



Source: IBGE, XP

Income Tax) exemption for workers who earn up to BRL 5,000 per month, in addition to possible quasi-fiscal policies in the year of general elections. **Therefore, our expectation for 2026 GDP growth – currently at 1.0% – is biased upwards.**

XP Forecasts (%)

GDP Breakdown	2023	2024	2025	2026
Agriculture & Livestock	16.3	-3.2	6.5	3.0
Industry	1.7	3.3	2.1	0.7
Services	2.8	3.7	1.7	0.9
Total GDP	**3.2**	**3.4**	**2.0**	**1.0**
Household Consumption	3.2	4.8	1.8	1.2
Government Consumption	3.8	1.9	2.1	2.2
Gross Fixed Capital Formation	-3.0	7.3	2.5	-1.5
Exports	8.9	2.9	3.4	2.4
Imports (-)	-1.2	14.7	2.3	1.1
Domestic Absorption	2.2	4.6	1.9	0.9
External Sector	1.5	-1.8	0.2	0.3
Change in Inventories	-0.5	0.6	-0.1	-0.2

Source: IBGE, XP

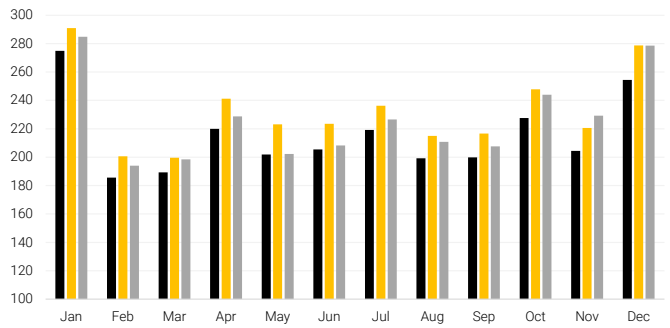
Public finances – Compliance with the fiscal framework still requires a significant adjustment in spending

Tiago Sbardelotto

January's result reflects the trend for the year. The BRL 84.9 billion primary surplus recorded in January came from (i) the combination of still strong revenues - albeit with some deceleration - driven by high inflation and a depreciated exchange rate and (ii) expenditure pressured by social security and welfare benefits due to the growth in the minimum wage and the number of beneficiaries. In our opinion, this should be the tone for the rest of this year.

The primary result target is close in 2025... Our updated forecast is a primary deficit of BRL76.0 billion this year (0.6% of GDP), considering a budget gap ("empoçamento") of BRL 20 billion. Considering the discounts for Court-ordered debts outside the constitutional limit (BRL 39.7 billion), the projected primary balance for the purposes of meeting the formal target reaches BRL -36.3 billion (-0.3% of GDP), just BRL 5.3 billion shy of the lower limit set for 2025 (BRL -31.0 billion). **Therefore, a small effort – through additional revenue or spending cuts - will allow the government to meet this year's primary balance target.**

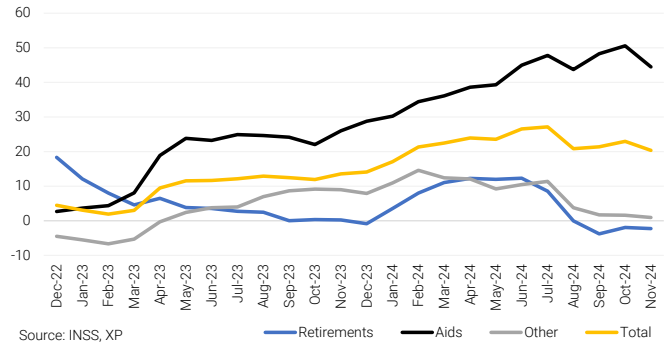
Tax revenue to continue growing on the back of inflation and economic activity
Tax revenue, including social security contrib. (BRL Bn from Jan/2025)



Source: RFB, PLOA, XP ■2024 ■2025 (Gov. forecast) ■2025 (XP forecast)

... but challenges remain in terms of compliance with the spending limit. We believe that several mandatory expenses are underestimated in the budget. In particular, we point out that social security benefits (BRL 20.7 billion), BPC/LOAS (BRL 11.4 billion), and unemployment benefits (BRL 2.3 billion) are likely to be higher than projected by the government. On the other hand, there is some room mainly in personnel and charges (BRL -6.7 billion) and financial support to states and municipalities (BRL -2.7 billion). **If the budget is adjusted according to our projections, a block of BRL11.6 billion would still be needed for the government to comply with the spending limit this year.**

Benefit concessions have slowed down slightly...
YoY variation in the 12M period (%)



Source: INSS, XP Retirements Aids Other Total

In 2026, the target will once again be a major challenge. The slowdown in revenue due to the fall in inflation and economic activity combined with stronger growth in expenditure due to past inflation will lead to an estimated deficit of **BRL 122.7 billion (0.9% of GDP), or BRL78.6 billion (0.5% of GDP) excluding expenditure on Court-ordered debt for the purposes of meeting the primary result target.**

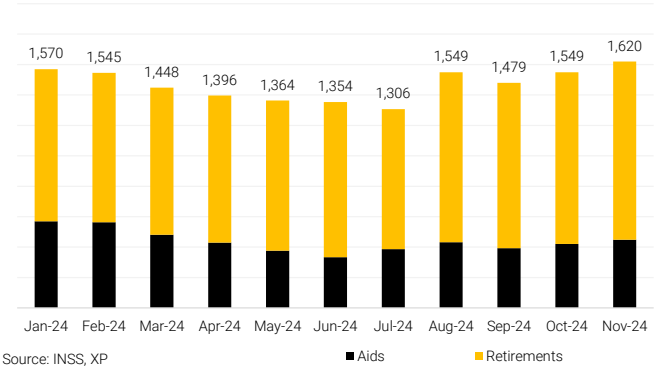
The pre-established target for 2026 is a positive 0.25% of GDP, or BRL33.7 billion, with the lower limit of the target at zero. **Our view is that the government will maintain the 2026 target when presenting the draft Budget Guidelines Law, due to the high political cost of changing it. And it will present a set of revenue-raising measures to comply with the budget,** repeating what it did in 2024 and 2025.

Subnational entities could surprise negatively. We see States accelerating spending this year and next year due to high net cash availability (approximately BRL 150 billion), increased resources from credit operations, and the electoral cycle. We also see a worrying primary deficit in state-owned companies, which should continue to put pressure in the coming years. Considering the consolidated public sector, **we estimate primary deficits of BRL 65.6 billion in 2025 (0.6% of GDP) and BRL 118.6 billion (0.9% of GDP) in 2026.**

Government debt trends continue to cause concern. Driven by the cost of nominal interest, which is expected to rise more this year due to the monetary policy cycle coupled with the more heavily loaded composition of floating rate bonds, the General Government Gross Debt (GGGD) should reach 80.0% of GDP in 2025 and 84.1% of GDP in 2026. In turn, the Public Sector Net Debt (PSND) is expected to end this year at 64.7% of GDP and next year at 68.3% of GDP.

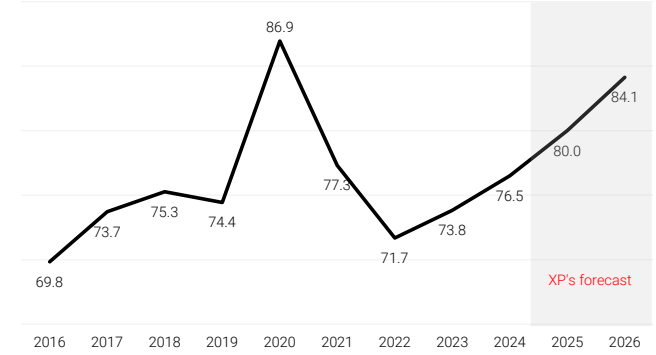
More structural adjustments in spending will be necessary. The latest available data has shown that the benefit review measures implemented so far have had a much lower effect than necessary. The slight slowdown seen can be explained by the increase in the queues of beneficiaries, but this is expected to subside over the course of this year. The measures taken at the end of last year had a minor effect on the growth in the number of beneficiaries, a movement that should deepen as the population continues to age. In this sense, we still see the fiscal framework's spending limit as unsustainable in the coming years. In our view, structural reforms that change the rules of indexation and mandatory expenditure growth are necessary, which is more likely to happen after 2027.

...and the queue has grown again in recent months
Unanalyzed benefit requests, in thousand



Source: INSS, XP

Nominal interest bill should weigh on public debt
General Government's Gross Debt (% of GDP)



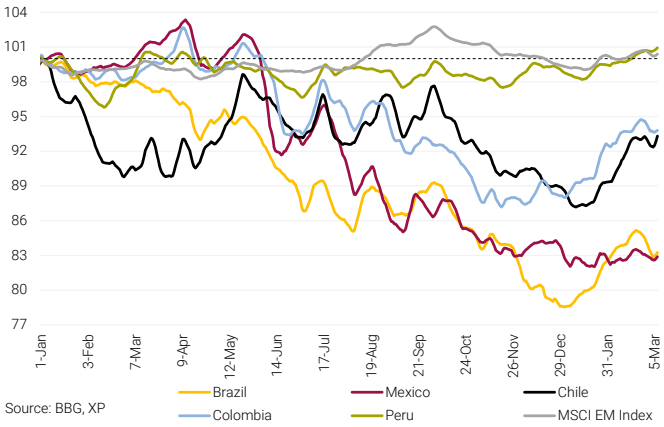
Source: BCB, XP

External Accounts – Exchange rate risks persist despite strong recent performance

Luíza Pinese

The BRL has performed well this year, suggesting that the sharp depreciation in December may have been an overshooting. After experiencing high volatility at the end of last year, the BRL strengthened in February, reaching levels around 5.70 reais per dollar. This reversal suggests that the sharp depreciation in December may have been an overshooting. Looking ahead, we still anticipate volatility,

After December stress, the BRL performs well in 2025
Exchange rate index, Jan/2023=100 (upward move = appreciation).



Source: BBG, XP

mainly due to uncertainty in the global environment with Donald Trump's new administration, as well as domestic political and fiscal risks.

Risk perception may limit further FX appreciation. We have adjusted our exchange rate forecast from 6.20 to 6.00 reais per dollar for YE 2025, above current levels. Given the uncertainty in both global and domestic conditions, we expect the risk premium to persist (for details, see Mind the Gap: BRL remains weaker than suggested by fundamentals).

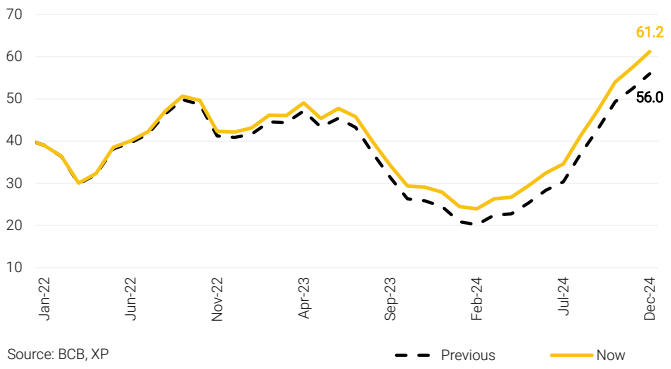
For 2026, we forecast the BRL at 6.20 reais per dollar (previously 6.40), in line with the inflation differential.

Current account deficit widens, raising concerns. The Central Bank has recently conducted an extraordinary review of the current account, widening the 2024 deficit from USD 56.0 billion to USD 61.2 billion (3.0% of GDP). This figure is now closer to the USD 71.1 billion (3.2% of the GDP) in Foreign Direct Investment (FDI) net inflows – the account is taken as a healthy source of external financing. We expect the current account deficit to move even closer to net FDI inflows this year.

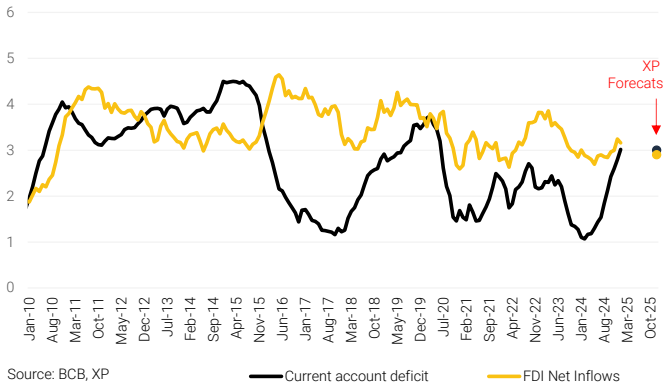
Despite tighter financing, external accounts remain resilient. Brazil continues to benefit from a solid stock of foreign reserves and low foreign currency debt. Additionally, our baseline scenario does not foresee a further deterioration in the current account deficit in 2026, thanks to a weaker exchange rate and a gradual economic slowdown.

We have revised our forecast for 2025 current account deficit, from USD 52.5 billion to USD 62.6 billion (3.0% of the GDP). We believe the deficit will virtually stabilize, reflecting both a slower economy and a weaker exchange rate. Beyond the extraordinary revision, imports have proven to be more persistent than previously expected. As a result, **we have lowered our trade balance forecast from USD 80.0 billion to USD 73.0 billion**, though this remains above last year's USD 65.8 billion. **For 2026, we anticipate a narrower current account deficit (USD 50.2 billion, 2.3% of the GDP)**, driven by weaker domestic demand. At the same time, FDI net inflows are expected to soften, reflecting higher risk aversion and slower economic growth. We forecast USD 60.0 billion for 2025 (2.9% of the GDP) and USD 57.0 billion for 2026 (2.6% of the GDP).

Current account deficit higher than expected after extraordinary revision
(USD Bn)



Deteriorating external accounts throughout 2024
(% of GDP)



XP Forecasts for the Balance of Payments

	2024		2025		2026	
	USD Bn	% of GDP	USD Bn	% of GDP	USD Bn	% of GDP
Current Account	**-61.2**	**-2.8**	**-62.6**	**-2.9**	**-50.2**	**-2.3**
Trade Balance	**65.8**	**3.0**	**73.0**	**3.4**	**78.0**	**3.6**
Exports	339.9	15.6	356.0	16.6	363.0	16.6
Imports	274.0	12.6	283.0	13.2	285.0	13.0
Services	**-54.6**	**-2.5**	**-61.1**	**-2.8**	**-57.7**	**-2.6**
Income	**-72.5**	**-3.3**	**-74.5**	**-3.5**	**-70.5**	**-3.2**
Primary Income	-75.4	-3.5	-78.0	-3.6	-73.0	-3.3
Secondary Income	2.9	0.1	3.5	0.2	2.5	0.1
FDI	**71.1**	**3.3**	**60.0**	**2.8**	**57.0**	**2.6**

Fonte: BCB, XP

Inflation – Led by stronger BRL, we have reduced our 2025 IPCA forecast from 6.1% to 6.0%

Alexandre Maluf

Brazilian inflation remains under pressure, despite some short-term relief. The February IPCA-15 (mid-month inflation

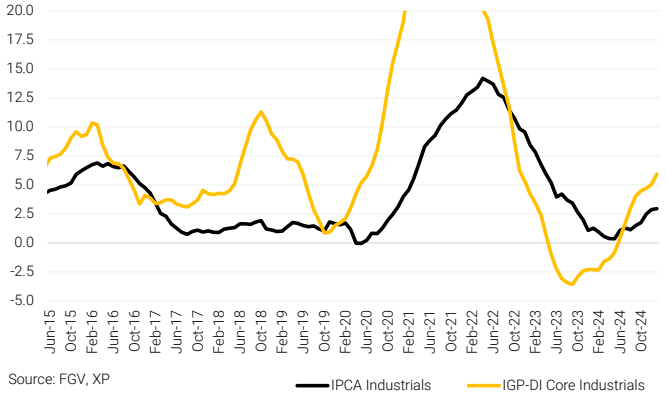
preview) came in below the lowest market estimate, influenced by volatile items, particularly airfares. The core services metric, which excludes airfares and other volatile items, fell to 7.8% on an annualized and seasonally adjusted basis (3-M SAAR), down from 8.0% in January. This is a temporary effect, driven by discounts in cinemas, which are expected to reverse going forward. Meanwhile, the average of core measures and the group of industrialized goods continue to accelerate, running above the upper bound of the inflation target (4.5%).

The BRL has appreciated in 2025, but the effects of the sharp depreciation seen in 2024 will prevail in the short term. As described in the External Sector section, the BRL has recently strengthened, which may be benign for prospective inflation. However, the high degree of depreciation observed throughout late 2024 is likely to be predominant in price formation in the short term. Wholesale prices suggest it, as shown in the chart. Thus, we continue to anticipate an acceleration in industrialized goods prices in 2025 compared to 2024. In any case, as we now project the exchange rate to be slightly more appreciated than in the previous macro monthly report, we have slightly reduced our forecast for inflation in industrialized prices, from 5.1% to 4.8%.

Service inflation stabilizes at a higher level. As mentioned before, service prices presented (temporary) relief, led by volatile items and one-off events. Overall, aside from the downward surprise in education adjustments, the dynamics of the service prices group have behaved as expected. We highlight that the group of underlying services, after oscillating between 4.5% and 6.0% from 23Q1 to 24Q3, has been around 8.0% since 24Q4, which is consistent with our projection for the year (7.2%). There are still two points to consider. First, the Brazilian labor market surprised positively again in January, after a slowdown in December, revealing increases in key wage metrics – which suggests cost pressures ahead. Besides, even though we expect a slowdown in economic activity throughout this year, the output gap has less influence on price composition than inflation expectations, which remain well above the 3% target with no signs of substantial decline.

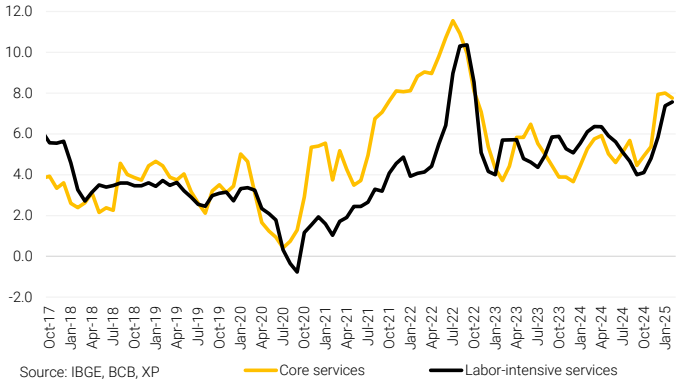
"Green flag" for electricity tariff in December, but different levels throughout the year. We project the inflation for monitored goods at 4.7% this year, with no major changes since our last monthly report. Indeed, we have adjusted our assumption of activating the "yellow flag" on electricity tariffs starting in May, the same level as in June. Between July and October, we consider a change to "red 1 flag". Finally, for November, we anticipate a "yellow flag", returning to the current "green level" in December. There are implications for the monthly inflation dynamics, but without changing our view for the year. Still on the energy theme, we now consider the payment of the "Itaipu bonus" in July, which amounts to approximately BRL 1.2 billion. This has a similar impact to that seen between January and February of this year – around -60 bps month-on-month with a corresponding increase in August.

Wholesale prices are still reflecting the BRL depreciation in 2024
YoY (%)



Source: FGV, XP

Services inflation stabilizes at higher levels
3MSAAR (%)



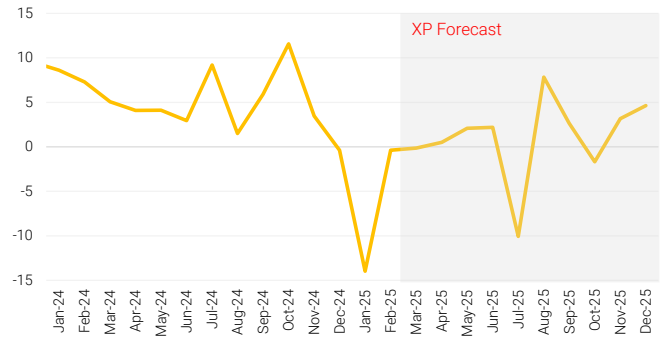
Source: IBGE, BCB, XP

Finally, we do not foresee adjustments in fuel prices this year. Brent crude oil prices are expected to exhibit volatility throughout the year, but our scenario considers a value between USD 70 and USD 75, consistent with the levels seen in recent weeks. Additionally, our calculations suggest a narrow gap between international and domestic fuel prices currently.

Slight moderation in "food-at-home" inflation, also due to exchange rate effects. We project that the "food-at-home" group will increase by 8.6% in 2025, down from 9.2% in the previous monthly report, due to the more appreciated exchange rate. Our projection anticipates strong increases in protein prices in the second half of the year, due to the reversal of the livestock cycle and limited supply of poultry. Beverages prices, particularly coffee, are also expected to weigh on the group. In recent weeks, the significant rise in wholesale egg prices has drawn attention. We believe this is a one-off event, peaking in April, but with a decline in the following months – then, it does not change our projection of 7.0% for the year.

Our expectation for 2026 IPCA inflation remains at 4.5%. The contractionary monetary policy should contribute to some deceleration of inflation in 2026 compared to 2025. Furthermore, the shock in food prices, especially on meat, will likely dissipate. Finally, the expected exchange rate depreciation for next year is similar to what we projected in our previous monthly report. In our view, the main risk is that the election year will be marked by expansionary fiscal policies by the federal and state-level governments, stimulating economic activity and raising inflation expectations.

Volatility in electricity tariifs will be a relevant topic in 2025
YoY (%)



Source: IBGE, XP

IPCA Groups — 12M (%)

	2022	2023	2024	2025 (F)	2026 (F)
Administred prices	-3.8	9.1	4.7	4.8	4.7
Market-set prices	9.3	3.1	4.9	6.4	4.4
Food at home	13.2	-0.5	8.2	8.6	5.2
Industrials	9.6	1.1	2.9	4.8	3.9
Services	7.6	6.2	4.8	6.5	4.4
IPCA headline	**5.8**	**4.6**	**4.8**	**6.0**	**4.5**

Source: IBGE, XP

Monetary Policy – The Copom still has work to do

Caio Megale

As described in the sections above, we have slightly reduced our projection for 2025 IPCA inflation, due to a stronger BRL forecast. It was not enough, however, to reduce our terminal Selic rate forecast.

First, although lower than before, our 2025 IPCA forecast is twice the target (6.0% versus 3.0%). Inflation is not elevated only because of short-term shocks, but rather as a result of imbalances between aggregate supply and demand, which should demand a significant monetary effort to correct.

Fiscal and quasi-fiscal policies remain expansionary, which may be intensified with measures that the government has been debating. For example, the release of FGTS funds, payroll loans to workers of the private sector, and the income tax exemption for workers that make up to BRL 5,000 per month, among others.

On the more dovish side, economic activity seems to be losing steam. But even here uncertainty prevails. December activity data came out softer than expected, but January figures have already shown some rebound. Our baseline scenario considers a significant slowdown in the Brazilian economy, but the output gap should remain positive throughout the whole forecasting horizon.

Thus, we still see the Selic rate reaching 15.50% by June, after 100-75-50-bp hikes in the next three Copom meetings. If the BRL remains relatively stable in the coming months and the economic slowdown intensifies, Copom may well raise its policy rate for the last time in May (instead of June, as in our current baseline scenario).

XP Forecasts

	2018	2019	2020	2021	2022	2023	2024 (F)	2025 (F)	2026 (F)
GDP growth (%)	1.8	1.2	-3.3	4.8	3.0	3.2	3.4	2.0	1.0
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.3	7.6	6.5	7.2	7.8
IPCA (CPI, %)	3.8	4.3	4.5	10.1	5.8	4.6	4.8	6.0	4.5
SELIC rate (% p.a., end of period)	6.50	4.50	2.00	9.25	13.75	11.75	12.3	15.50	12.50
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	4.86	6.2	6.00	6.20
Central government primary balance (% GDP)	-1.7	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.7	-0.9
Primary balance for target calculation (% GDP)*	--	–	–	–	–	–	-0.1	-0.3	-0.6
Public sector primary balance (% GDP)	-1.5	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.7	-0.8
Public sector nominal balance (% GDP)	7.0	5.8	13.3	4.3	4.6	8.8	8.5	9.3	8.5
General government gross debt (% GDP)	75.3	74.4	86.9	77.3	71.7	73.8	76.5	80.0	84.1
Net public sector debt (% GDP)	52.8	54.7	61.4	55.1	56.1	60.4	61.5	64.7	68.3
Trade Balance (USD Bn)	46.6	29.6	35.7	42.3	51.5	92.3	65.8	73.0	78.0
Exports (USD Bn)	231.9	225.8	210.7	284.0	340.2	343.8	339.9	356.0	363.0
Imports (USD Bn)	185.3	196.2	175.0	241.7	288.7	251.5	274.0	283.0	285.0
Current Account (USD Bn)	-54.8	-65.0	-24.9	-40.4	-42.2	-27.9	-61.2	-62.6	-50.2
Current Account (% GDP)	-2.9	-3.5	-1.7	-2.4	-2.2	-1.3	-2.8	-2.9	-2.3
FDI (USD Bn)	78.2	69.2	38.3	46.4	74.6	62.4	71.1	60.0	57.0
FDI (% GDP)	4.1	3.7	2.6	2.8	3.8	2.9	3.2	2.8	2.6
Nominal GDP (USD Bn)	1.92	1,873	1,475	1,670	1,951	2,190	2,178	2,143	2,192
Nominal GDP (BRL Bn)	7.00	7,389	7,610	9,012	10,080	10,943	11,745	12,641	13,367

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

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